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7. Drawings appearing in the trial balance is
   (a) Added to the purchases
   (b) Subtracted from the purchases
   (c) Added to the capital
   (d) Subtracted from the capital

8. Salaries appearing in the trial balance is shown on the
   (a) Debit side of trading account
   (b) Debit side of profit and loss account
   (c) Liabilities side of the balance sheet
   (d) Assets side of the balance sheet

9. Current assets does not include
   (a) Cash
   (b) Stock
   (c) Furniture
   (d) Prepaid expenses

10. Goodwill is classified as
   (a) A current asset
   (b) A liquid asset
   (c) A tangible asset
   (d) An intangible asset

Answers

1 (b)	2 (b)	3 (d)	4 (a)	5 (c)
6 (b)	7 (d)	8 (b)	9 (c)	10 (d)

II Very short answer questions

1. Write a note on trading account.
2. What are wasting assets?
3. What are fixed assets?
4. What is meant by purchases returns?
5. Name any two direct expenses and indirect expenses.
6. Mention any two differences between trial balance and balance sheet.
7. What are the objectives of preparing trading account?
8. What is the need for preparing profit and loss account?